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BEFORE THE EXECUTIVE DIRECTOR, DEPARTMENT OF REVENUE
STATE LICENSING AUTHORITY
STATE OF COLORADO

Case Number: 25M025

STIPULATION, AGREEMENT, AND ORDER

IN THE MATTER OF:

P2C3, LLC
Medical Marijuana Store License No. 402-00005
Medical Marijuana Cultivation License No. 403-01300
Medical Marijuana Products Manufacturer License No. 404-00334

The Underdogs, LLC
Owner Entity License No. OE-000545

Nicholas Micheal Stipanovich
Owner – Social Equity License No. M163193

Demian Deforest
Owner License No. M105815

Respondents.

MED Complaint Nos. 2023-0149 and 2025-0098

THIS STIPULATION, AGREEMENT, AND ORDER ("Order") between the Department of Revenue, Marijuana Enforcement Division ("Division"), and P2C3, LLC (Medical Marijuana Store License No. 402-00005, Medical Marijuana Cultivation License No. 403-01300, and Medical Marijuana Products Manufacturing License No. 404-00334), The Underdogs, LLC (Owner Entity License OE-000545), Nicholas Micheal Stipanovich (Owner – Social Equity License No. M163193), and Demian Deforest (Owner License No. M105815), (collectively "Licensees[1]"), is offered for the purposes of settlement and to avoid the uncertainty and cost of future administrative action. The Division and Licensees submit to and agree as follows:

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[1]Capitalized terms not defined herein are used consistently with their definitions and usages in the Marijuana Rules. *See generally* Rule 1-115.

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1. The Executive Director of the Department of Revenue as the State Licensing Authority ("State Licensing Authority") has jurisdiction over the Licensee and the subject matter herein pursuant to the provisions of subsection 44-10-201(1)(a), C.R.S.

2. Pursuant to Marijuana Code subsection 44-10-202(1)(b), the State Licensing Authority has the authority to regulate and license the cultivation, manufacture, distribution, sale, hospitality, and testing of Regulated Marijuana and Regulated Marijuana Products in the State of Colorado; suspend, fine, restrict, or revoke such licenses, whether active, expired, or surrendered, upon a violation of this article 10 or any rule promulgated pursuant to this article 10; and impose any penalty authorized by this article 10 or any rule promulgated pursuant to this article 10.

3. Pursuant to subsection 44-10-901(1), C.R.S., the State Licensing Authority has the power, on its own motion or on complaint, after investigation and opportunity for a public hearing at which the licensee shall be afforded an opportunity to be heard, to fine, suspend, or revoke a license or impose any other sanction authorized by the Marijuana Code or Marijuana Rules, for a violation by the licensees or any of the agents or employees of the licensees.

4. At all relevant times, P2C3, LLC ("P2C3") held the following Regulated Marijuana Business licenses issued by the State Licensing Authority:

    a. Medical Marijuana Store, d/b/a The Dispo, ("Medical Store"), License No. 402-00005, located at 2845 Ore Mill Road, Unit 6, Colorado Springs, Colorado 80904.

        i. The Medical Marijuana Store's license expired on May 29, 2025.

    b. Medical Marijuana Cultivation, ("Medical Cultivation"), License No. 403-01300, and Medical Marijuana Products Manufacturer, ("Medical MIP"), License No. 404-00334, co-located at 3286 North El Paso Street, Colorado Springs, Colorado 80907 ("Licensed Premises").

        i. The Medical Marijuana Cultivation's license expired on April 17, 2024.

        ii. The Medical MIP's license expired on April 17, 2024.

5. At all relevant times, The Underdogs, LLC ("The Underdogs"), held Owner Entity License No. OE-000026, issued by the State Licensing Authority as the [redacted] owner of P2C3.

    a. Owner Entity license No. OE-000026 was issued on January 27, 2020.

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b. Owner Entity license No. OE-000026 expired on May 29, 2023.

6. At all relevant times, The Underdogs held Owner Entity License No. OE-000545, issued by the State Licensing Authority as the [redacted] owner of P2C3.

   a. Owner Entity license No. OE-000545 was issued on September 13, 2023.

   b. Owner Entity license No. OE-000545 expired on September 13, 2024.

7. At all relevant times, Nicholas Micheal Stipanovich ("Stipanovich") held Owner License No. M105818, issued by the State Licensing Authority as the [redacted] owner of The Underdogs and the [redacted] Controlling Beneficial Owner of P2C3.

   a. Owner License No. M105818 was issued on January 27, 2020.

   b. Owner License No. M105818 expired on May 29, 2024.

8. At all relevant times, Stipanovich held Owner – Social Equity License No. M163193, issued by the State Licensing Authority as the [redacted] owner of The Underdogs and the [redacted] Controlling Beneficial Owner of P2C3.

   a. On May 7, 2024, Stipanovich submitted a Natural Person Finding of Suitability Application for Owner – Social Equity License No. M163193.

   b. Owner – Social Equity License No. M163193 was issued on July 30, 2024.

   c. Owner – Social Equity License No. M163193 expires on May 20, 2027.

9. At all relevant times, Demian Deforest ("Deforest"), Owner License No. M105815, was licensed by the State Licensing Authority as the [redacted] Controlling Beneficial Owner of The Underdogs and the [redacted] Controlling Beneficial Owner of P2C3.

   a. Owner License No. M105815 expires on May 29, 2027.

10. Licensees have been the subject of multiple investigations conducted by the Division. The Division alleges violations of the Colorado Marijuana Code, sections 44-10-101 *et seq.*, C.R.S. ("Marijuana Code"), and the rules promulgated pursuant to the Marijuana Code at 1 CCR 212-3 ("Marijuana Rules").

11. The State Licensing Authority served a First Amended Order to Show Cause, Notice of Hearing, and Notice of Duty to Answer ("Order to Show Cause") on Licensees on August 11, 2025, attached hereto as **Exhibit 1**.

12. The Division and Licensees have come to a mutual agreement and understanding to jointly propose to the State Licensing Authority a resolution of the allegations

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against Licensees, in lieu of proceeding to hearing to determine the merits of such allegations in the Order to Show Cause.

13. The terms and conditions of this Order are subject to approval by the State Licensing Authority.

14. Licensees admit the following facts and violations:

    a. On April 21, 2023, the Division received a report of concern following the consumption of Regulated Marijuana that was cultivated at Medical Cultivation.

        i. The consumer reported that the Medical Marijuana flower had an odor and taste of mold.

    b. On May 9, 2023, Division investigators conducted a site visit at the Licensed Premises to conduct additional testing of Medical Cultivation's Harvest Batches.

        i. Division investigators requested the Medical Cultivation submit Test Batches from [redacted] Harvest Batches identified by the Division as having not previously been submitted for microbial testing.

    c. On May 17, 2023, [redacted] of the [redacted] Harvest Batches submitted for Division-required contaminant testing failed microbial testing for total yeast and mold contamination.

    d. The Division reviewed the Medical Cultivation's contaminant testing data in the Inventory Tracking System which revealed the following:

        i. A Reduced Testing Allowance for microbial testing was achieved on August 18, 2021, and was maintained until its expiration on August 18, 2022.

        ii. From October 26, 2022, to December 7, 2022, a period of 42-days, the Medical Cultivation submitted [redacted] Harvest Batches for microbial testing in an attempt to achieve Reduced Testing Allowance despite the Medical Cultivation producing [redacted] Harvest Batches within the six-week timeframe.

        iii. The Medical Cultivation failed to test all Harvest Batches created within the minimum six-week timeframe in order to establish a Reduced Testing Allowance.

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iv. From August 18, 2022, the Medical Cultivation failed to submit approximately [redacted] Harvest Batches for all required contaminant testing prior to Transfer to other Regulated Marijuana Businesses.

e. On June 1, 2023, the Division investigator notified Licensees that the Division would issue a Request for Voluntary Recall of Regulated Marijuana associated with the [redacted] Harvest Batches that failed Division-requested microbial testing.

f. On June 27, 2023, Licensees completed a voluntary recall of the [redacted] Harvest Batches that failed Division-required testing.

g. On June 30, 2023, the Division issued a Request for Voluntary Recall of [redacted] Harvest Batches that were not properly tested prior to Transfer from the Medical Cultivation.

h. On July 5, 2023, the Division issued a second Request for Voluntary Recall of [redacted] Harvest Batches Transferred from the Medical Cultivation that were not tested for microbials following the expiration of the Medical Cultivation's Reduced Testing Allowance on August 18, 2022.

i. On August 24, 2023, a Health and Safety Advisory was issued by the Colorado Department of Public Health and Environment and the Colorado Department of Revenue that identified all contaminated and potentially contaminated Medical Marijuana flower that was Transferred by P2C3 to consumers between October 10, 2022, and August 20, 2023.

j. Licensees violated Marijuana Rule 4-105(C), as the testing requirements contained in this 4-100 Series are the minimum required testing standards. Regulated Marijuana Businesses are responsible for ensuring adequate testing on any Regulated Marijuana they produce or Transfer to ensure safety for human consumption.

k. Licensees violated Marijuana Rule 4-120(A)(1), as a Regulated Marijuana Business shall not Transfer or process Regulated Marijuana, Pre-Rolled Marijuana, Infused Pre-Rolled Marijuana, Regulated Marijuana Concentrate or Regulated Marijuana Product unless Test Batches from each Harvest Batch or Production Batch from which that Regulated Marijuana was derived has been tested by a Regulated Marijuana Testing Facility for contaminants and passed all contaminant tests required by this Rule, except as permitted in Rule 5-205(C), 6-205(C), or the cultivation or

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production process has achieved a Reduced Testing Allowance under this Rule.

i. Licensees' Medical Cultivation Transferred Regulated Marijuana without first completing all required contaminant testing.

l. Licensees violated Marijuana Rule 4-120(B)(1), (B)(3), and (B)(4) as P2C3's Medical Cultivation did not satisfy requirements to maintain a Reduced Testing Allowance between August 18, 2022, and June of 2023 for contaminant testing.

i. Licensees' Medical Cultivation failed to submit approximately [redacted] Harvest Batches of Regulated Marijuana for required contaminant testing from August 18, 2022, to June of 2023.

ii. Licensees' Medical Cultivation Transferred untested and contaminated Regulated Marijuana to Regulated Marijuana Businesses.

m. Licensees violated Marijuana Code subsection 44-10-307(1)(e)(1), as Licensees failed to file all required Marijuana related tax returns for the period of July 2023 to November 2023.

n. Licensees violated Marijuana Code subsection 44-10-307(1)(e)(II), as Licensees failed to pay Corporate Income tax, including penalties and interest, for the month of December 2021 due as determined by final agency action related to the operation of a Regulated Marijuana Business.

15. The Division and Licensees agree, in lieu of proceeding with an administrative action and subsequent proceedings, to the following:

a. Licensees shall pay outstanding tax and interest owed to the Department of Revenue ("Department") for Corporate Income tax for the month of December 2021 in the amount of [redacted] This amount will continue to accrue interest until all amounts owed to the Department are paid in full. The Department agreed to waive penalties for purposes of this Order. The tax and interest shall be paid **within 30 days** following service of a copy of the fully executed Order, as reflected in the Certificate of Service below as directed in paragraph 15(b) below.

b. Licensees shall make the tax payments identified in paragraphs 15(a) above electronically (Wire Transfer), and provide the confirmation or transaction number to **Christina Donahue, via e-mail at christina.donahue@state.co.us, no more than three (3) days after** the wire transfer date.

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Wire Transfer Instructions:

Wire transfer Number:	121000248
Bank:	Wells Fargo Bank NA
City & State:	San Francisco, CA
Beneficiary Account No.	1018170265
Beneficiary Name:	State of Colorado, Dept of Revenue, Tax Compliance

c. Licensees waive all statutes of limitations on collection of the excise taxes owed to the Department for the tax periods identified in paragraphs 15(a), including, but not limited to, the statute of limitations in section 39-21-107, C.R.S.

d. The Department reserves all its statutory rights and remedies regarding any taxes, penalties and interest owed by Licensees. Nothing in this Order shall be construed as a waiver of the Department's ability to investigate or pursue a criminal prosecution of Licensees, or any of them, including, but not limited to, pursuant to § 39-21-118, C.R.S.

e. Licensees agree to pay, and to be jointly and severally responsible for the payment of, a fine in the amount of **$10,000.00**. The fine shall be paid by certified check or money order, made payable to the Colorado Department of Revenue, within **30 days** following service of a copy of the fully executed Order, as reflected in the Certificate of Service below. Licensees shall contact Jasmin Quijano at the Division at jasmin.quijano@state.co.us to discuss procedures for delivery and payment of the fine.

f. If Licensees fail to submit full payment of the taxes or fine identified in paragraphs 15(a) and 15(e) within **30 days** following service of a copy of the fully executed Order, Deforest's Owner License No. M105815 and Stipanovich's Owner – Social Equity License No. M163193 will be surrendered and treated as revoked on the 31st day following service of the fully executed Order, as reflected in the Certificate of Service below.

g. Licensees agree that, upon service of the fully executed Order, the expired Regulated Marijuana Business Licenses identified in paragraphs 4(a), 4(b), and 5 above shall be treated as revoked effective as of the date of service of the fully executed Order.

16. Licensees agree, if ever licensed by the State Licensing Authority to hold a Colorado Regulated Marijuana License in the future, that Licensees will not recommit any of the violations related to the admissions in paragraph 14, and that Licensees will remain in compliance with the Marijuana Code and Marijuana Rules.

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17. Licensees acknowledge receipt of sufficient notice, advisement of rights, and wishes to resolve all issues, which were the subject of the investigation or in any way related to the investigation, by entering into this Order.

18. Except as reflected in this Order, neither the facts nor circumstances relating to the underlying complaint or investigation that formed the basis for this Order against Licensees nor any defenses that Licensees may have to such complaint and/or investigation shall be at issue in a proceeding against Licensees for failing to comply with the terms of this Order.

19. Licensees agree that if Licensees apply for a new license, or seeks reissuance or reinstatement of any license, registration, or permit pursuant to the Marijuana Code, or any successor to such Codes, the Division may consider the facts and circumstances surrounding this Order. Further, this Order and related circumstances shall be admissible as evidence at any future hearing before the State Licensing Authority and may be used in connection with any future actions by the State Licensing Authority.

20. Licensees agree that Licensees entered into this Order knowingly and voluntarily. The terms of this Order were mutually negotiated and agreed upon. Licensees understand they have the right to be represented by counsel of their choosing at Licensees' expense, and the Stipanovich has chosen not to be represented by counsel in this process. Deforest affirms that he has consulted with his legal counsel. Licensees have read this Order and fully understand its nature, meaning, and content. Licensees agree that upon execution of this Order, no subsequent action or claim or assertion shall be maintained or pursued by Licensees asserting the invalidity in any manner of this Order.

21. Licensees further understand and knowingly and voluntarily waive the following rights:

    a. The right to a public hearing on the merits of the matters forming the basis of this Order;

    b. The right to cross-examine all witnesses against Licensees at a public hearing;

    c. The right to subpoena witnesses and documents, to present evidence and to testify on Licensees' own behalf at a public hearing;

    d. The right to engage in pre-hearing exchange of evidence with the Division, and to review the Division's evidence prior to hearing; and

    e. The right to file exceptions and seek administrative review of an initial decision.

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22. By signing this Order, Licensees consent to the terms and conditions described herein and agrees to waive the right to judicial review of this Order pursuant to section 24-4-106, C.R.S.

23. Upon execution by all parties, this Order shall have the same force and effect as an order entered after a formal hearing pursuant to sections 24-4-105 and 44-10-901, C.R.S., except that it may not be appealed. Failure to comply with the terms of this Order may be sanctioned by the State Licensing Authority as set forth in the Marijuana Code.

24. Upon execution by all parties, this Order shall represent the entire and final agreement of the parties. In the event that any provision of this Order is deemed unenforceable by a court of competent jurisdiction, or, if challenged, the State Licensing Authority determines that a provision is unproven, such provision shall be severed, unless material to the Order, and the remainder of this Order shall be given full force and effect.

25. This Order shall be binding upon Licensees individually and shall inure to the benefit of the parties to this Order and their respective successors and assigns, and shall be construed in accordance with, and governed by, the laws of the State of Colorado.

26. All costs and expenses incurred by Licensees to comply with this Order shall be the sole responsibility of the Licensees and shall not in any way be the obligation of the Division. Costs for which Licensees are exclusively responsible include, but are not limited to, litigation costs, costs incurred by Licensees for any court appointee(s), attorneys' fees, and costs incurred by Licensees for any other professional expenses.

27. Upon approval and order of the State Licensing Authority, this Order shall become a permanent part of the record and shall be open to public inspection and published pursuant to the Division's standard policies and procedures and applicable law.

28. This Order shall be effective on the date this Order is served upon the parties as set forth in the attached Certificate of Service. Should the State Licensing Authority reject the terms hereof, Licensees may withdraw the admissions herein, engage in renegotiation of the terms, or agree to re-set this matter for an administrative hearing on the Order to Show Cause.

29. This Order may be executed by electronic means (facsimile, e-mail, DocuSign, etc.), and any signature delivered electronically will be deemed to be as valid as an original signature.

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30. For the purpose of addressing any future violations of the Order, the Marijuana Code and/or the Marijuana Rules shall hereby include all later adopted codes, rules, or regulations that are in effect at the time of the violation(s).

31. This Order constitutes the entire agreement and understanding between the parties and supersedes all prior agreements and promises related to the allegations, facts, and issues that are the subject of this Order, written or oral between the parties, which modify, interpret, construe, or affect this Order. Any other allegations, facts and issues not specifically raised or addressed in this Order have not been considered by the parties and are not made a part of this Order.

Signature Page Follows

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Dominique D. Mendiola Digitally signed by Dominique D. Mendiola Date: 2026.01.25 21:28:29 -07'00' Dominique D. Mendiola Senior Director Marijuana Enforcement Division Dated in Electronic Signature Above	DocuSigned by: Demian Deforest FF4886BF52EF4BC... Demian Deforest, individually and as the [redacted] Controlling Beneficial Owner of The Underdogs and the [redacted] Controlling Beneficial Owner of P2C3, Owner License No. M105815 1/13/2026 Date
Signed by: [redacted] 54D9456F4DEE44C... Nicholas Micheal Stipanovich, individually and as the [redacted] owner of The Underdogs and the [redacted] Controlling Beneficial Owner of P2C3, Owner – Social Equity License No. M163193 1/13/2026 Date	

ORDERED AND APPROVED on the date set forth in the electronic signature below.

Heidi Humphreys Digitally signed by Heidi Humphreys Date: 2026.01.28 12:00:47 -07'00'

Heidi Humphreys
Executive Director/CEO
Department of Revenue
State Licensing Authority

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CERTIFICATE OF SERVICE

I hereby certify that a true and accurate copy of the foregoing **STIPULATION, AGREEMENT, AND ORDER** was duly placed in the United States Mail, first class postage pre-paid and sent via electronic mail, on the date set forth in the electronic signature below, addressed as follows:

David Wunderlich Hassan + Cables 1035 Pearl Street, Suite 200 Boulder, CO 80302 Email: [redacted] *Attorney for Demian Deforest*	John B. Viverito Senior Assistant Attorney General Colorado Department of Law Marijuana, Liquor & Bankruptcy Unit Revenue & Regulatory Law Section Ralph L. Carr Colorado Judicial Center 1300 Broadway, 8th Floor Denver, CO 80203 Email: john.viverito@coag.gov melissa.young@coag.gov; raquel.mendez@coag.gov; jenni.lehman@coag.gov *Attorney for the Marijuana Enforcement Division*
The Underdogs, LLC 4950 Newstead Place Colorado Springs, Colorado 80906 E-Mail: [redacted]	P2C3, LLC 2845 Ore Mill Road, Unit #6 Colorado Springs, Colorado 80904 E-Mail: [redacted]
Nicholas Micheal Stipanovich [redacted] E-Mail: [redacted]	

By: Jennifer Bruner Digitally signed by Jennifer Bruner Date: 2026.01.28 15:25:13 -07'00'

Jennifer Bruner